MESA SCHOOL OF BUSINESS · TERM 3

Business Metrics & Mindset

with Meet Kotak

SESSION 1

Reading a Business: Models, Revenue Engines and Metric Trees

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WHO AM I?

About Me

WHAT DO I DO?

I spend my days reading businesses: what they are, how they make money, and what they are worth.

WHERE I COME FROM?

Have seen the journey end-to-end. Have been a founder, a VC and a late-stage investor. Have helped 30+ companies scale, across sectors and stages.

WHY THIS COURSE?

Most people learn metrics as definitions. I learned them deciding where real money goes. That is the difference I want to hand you.

EDUCATION & PAST EXPERIENCE

CFA Institute

Inflexor

THE INVESTMENT TRUST OF INDIA
Growth Opportunities VCF

NKSQUARED

SELECT INVESTMENTS

KINECO

GRIP

cureskin

REDWING LABS

Fasa

THE HOSTELLER

LINKEDIN:

Ask questions, always. The best operators, investors and founders are always curious!

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COURSE INTRODUCTION

Where this sits, and where every metric comes back

#	Session	Role in the course
1	**Models, revenue engines and metric trees**	**Today**
2	Universal metrics across every function and key sectors	*Vocabulary*
3	Financial ratios and cash metrics	*Vocabulary*
4	Customer economics, marketing and SAAS metrics	*Vocabulary*
5	MIS and ground-up projections (AOP)	*The build*
6	Practice: a one-screen dashboard with metrics, built live	*Applied*
7	Valuation: methods, multiples and judgement	*The judgement*
8	Practice: quantitative drill and exam prep	*Applied*

Agenda

1. **Reading a business model, revenue engines, stage and the industry**
2. Metric Tree: Decomposing into metrics that matter



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Objective of the day: Success of this class is measured when students will be able to:

1. Read any business from scratch; including its business model, revenue model, stage + industry contours
2. Name the handful of metrics that matter

Opening question

EXERCISE 1

Which is the better business?



VS



Metric	BRAND A	BRAND B
Revenue (FY26)	₹ 165 Cr.	₹ 111 Cr.
Revenue Growth (3Y, %)	20.6%	**70%**
EBITDA Margin (%)	**-1.7%**	-4.9%
Occupancy (%)	**59.9%**	57.5%
Avg Room/ Bed Rate (₹)	**₹ 2,499**	₹ 1,139

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COURSE INTRODUCTION

A number means nothing until you know who is reading it

Same business. Same metric. Three completely different conclusions.

The Operator

"Can I hit it next month?"

Reads the metric as a target to move. Cares about the lever behind it, this week.

The Founder

"Does this prove the model?"

Reads it as evidence the business compounds. Cares about the trend and the story.

The Investor

"What is this worth?"

Reads it against a benchmark and a multiple. Cares whether it is defensible and durable.

This course teaches you to read all three. That is what makes you useful in the room.

THE METHOD

Four lenses. Any business, read the same way

Everything today sits under one of these. The same four are your take-home assignment.

1

Business model

How it is built. What it owns, who carries the risk.

2

Revenue model

How it charges. Once, on repeat, on a contract, on a cut.

3

Industry

Where it sits in the life cycle, value chain and what is its profit pool?

4

Metric tree

The few drivers that actually move the top line.

Get these four and you can read a business you have never seen. That is the whole game.

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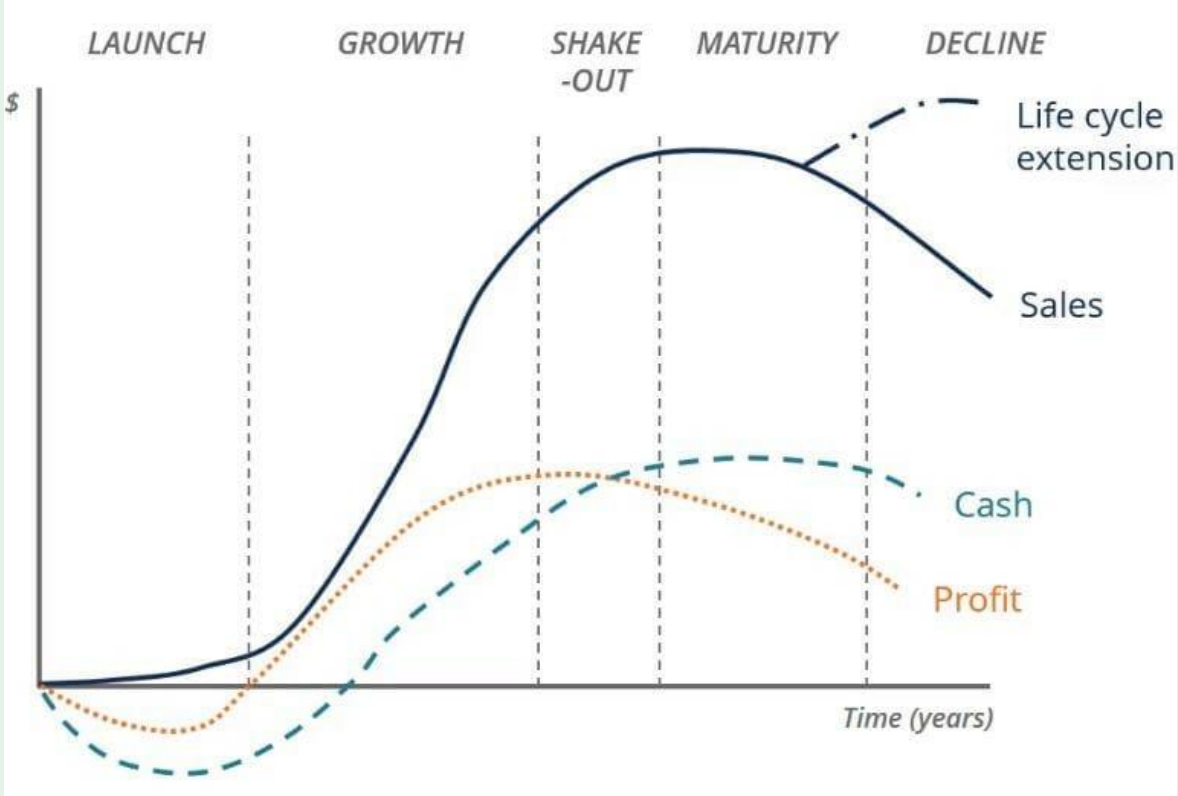
01

STRUCTURE BEFORE NUMBERS

Read it top-down

An industry has a shape, a profit map and a life stage. See those first.

The same business behaves differently at each stage



Revenue, Sales, cash over the industry life cycle

Stage	Sales	Profit	Cash flow
Embryonic/ Early/ Launch	Tiny	Losses	Heavy outflow
Growth	Fast	Thin, rising	Still negative
Shakeout	Slowing	Peaking	Turns positive
Mature	Flat	High, stable	Strong inflow
Decline	Falling	Eroding	Harvested

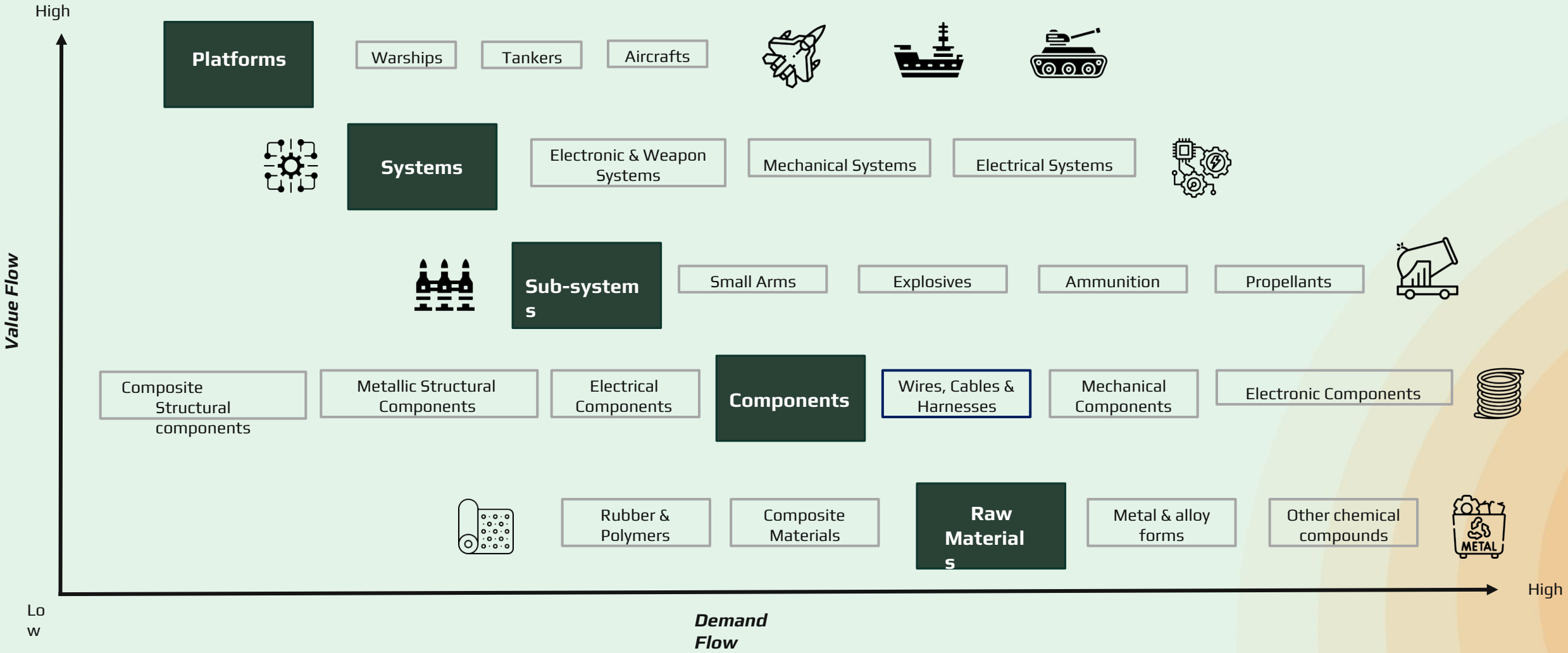
Investors pay for growth, operators protect cash. The stage tells you which game is being played.

EXERCISE 2

Identify the life cycle stage of these industries

Electric Vehicles (EVs)	**Growth -> Early Shakeout**	Rapid demand increase, policy tailwinds, falling battery costs, global scaling, but still capital-intensive.
EdTech	**Shakeout**	Post-COVID slowdown, funding squeeze, and consolidation around large incumbents. Growth slower, profitability in focus.
SpaceTech	**Early**	Sector opened-up only in 2020 (IN-SPACe); startups still young and largely pre-rev, demand mostly government-led, long gestation cycles.
QSR (Quick-Service Restaurants)	**Mature**	Consolidated market, steady mid-single-digit growth, predictable unit economics..
Offline Retail	**Growth -> Maturity**	Growing ~9–10% annually to exceed $1.6 Tn by 2030, driven by rising incomes, urbanization, Tier 2/3 expansion, and omnichannel growth.
Print Media	**Decline**	Structural demand collapse, ad revenue shifting online, limited innovation runway.

What goes into the final product



Source: Singhi Advisor's Defence Report

LENS 3 · INDUSTRY: PROFIT POOLS

Market share is not profit share

Iphone 17 sells for ₹100,000. Everyone in the chain adds value. The brand retains most of the profits.



Layer	Value added	Profit kept
OEM *Apple*	₹60,000 60%	**₹22,500** (75%)
Chip suppliers *Qualcomm, TSMC, Intel*	₹20,000 20%	**₹4,800** (16%)
Passive components *Corning, Luxshare, Qtech*	₹15,000 15%	**₹2,100** (7%)
Assembly (EMS) *Foxconn, Wistron & Pegatron (Tata)*	₹5,000 5%	**₹600** (2%)

Profit pool per phone ≈ ₹30,000 · illustrative. Ignores GST, shipping

Foxconn builds the whole phone and keeps **₹600**. Apple keeps **₹22,500** of the same profit. Same chain, different pools.

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02

WHAT KIND OF ANIMAL IS THIS

Business models

How the business is built, what it owns, and who carries the risk.

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LENS 1 · THE MENU

A handful of business models

Inventory-led (1P)

Buys and holds the stock.

e.g. DMart, Zudio, Consumer Brands

Marketplace (3P)

Connects buyer and seller, holds nothing.

e.g. Amazon 3P, eBay, Justdial

Managed marketplace

Curates and controls quality, still asset-light.

e.g. Urban Company, Spinny

Aggregator vs platform

Bundles supply under one, brand or enables others.

e.g. Uber · Shopify

Asset-heavy vs light

Owns the capacity, or rents and runs it.

e.g. Taj · OYO

Franchise / licensing

Lends brand and playbook for a fee.

e.g. Dominoes,

Lending / balance-sheet

Puts its own capital at risk to earn.

e.g. Bajaj Finance

Quick commerce

Owns micro-inventory in dark stores for speed.

e.g. Blinkit, Zepto

Multi-engine

Marketplace plus ads, then credit, stacked.

e.g. Amazon, Swiggy

Indicative, not exhaustive, not testable. Most real businesses blend two or three of these, and the blend is the thing to pin down.

THE BOOKING TRAP

Same sale, two very different revenues

A customer spends ₹1,000. How much revenue does the business book? It depends who it is.

PRINCIPAL

Owns the goods, carries the risk

₹1,000

Books the full sale as revenue

Inventory-led retailer. Revenue looks big; margin is what is left after cost of goods.

AGENT

Only facilitates, never owns

₹150

Books only the commission

Pure marketplace. Revenue looks small; almost all of it is gross margin.

The lesson: never compare two companies on revenue alone until you know whether each books gross or net. It is the single most common way topline lies. Point-in case: Hosteller Vs Treebo Example

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03

HOW THE MONEY ACTUALLY COMES IN

Revenue models

The structure tells you what it is. The revenue model tells you how it charges.

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LENS 2 · THE MENU

How a business actually charges

One-time sale

Pay once, rarely again.

e.g. Appliance, furniture

Consumption repeat

Buy again on its own cadence.

e.g. Coffee, FMCG, QSR

Subscription

Flat, tiered, seat-based or usage-based.

e.g. Netflix, Slack, AWS

Freemium

Free base, pay to unlock more.

e.g. Spotify, Zoom, Youtube

Commission / take rate

A cut of every transaction.

e.g. Swiggy, Zomato

Advertising

Sold on CPM, CPC or CPA.

e.g. Google, Meta

Listing / lead-gen

Pay to be seen, or per lead.

e.g. Naukri, Justdial, Indiamart

Interest & fee income

Earns on money lent or held.

e.g. Bajaj Finance, banks

Royalty / franchise / membership

Pay for access, brand or entry.

e.g. Costco, Marriott

Also indicative. One business usually stacks several: a marketplace earns commission, then advertising, then interest.

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THE CONTRAST THAT MATTERS MOST

Two engines compound in opposite ways

TRANSACTIONAL

Compounds through frequency and basket

Revenue = Customers × Frequency × Basket

SUBSCRIPTION

Compounds through retention and expansion

Revenue = Base ARR × Retention × Expansion

So what?

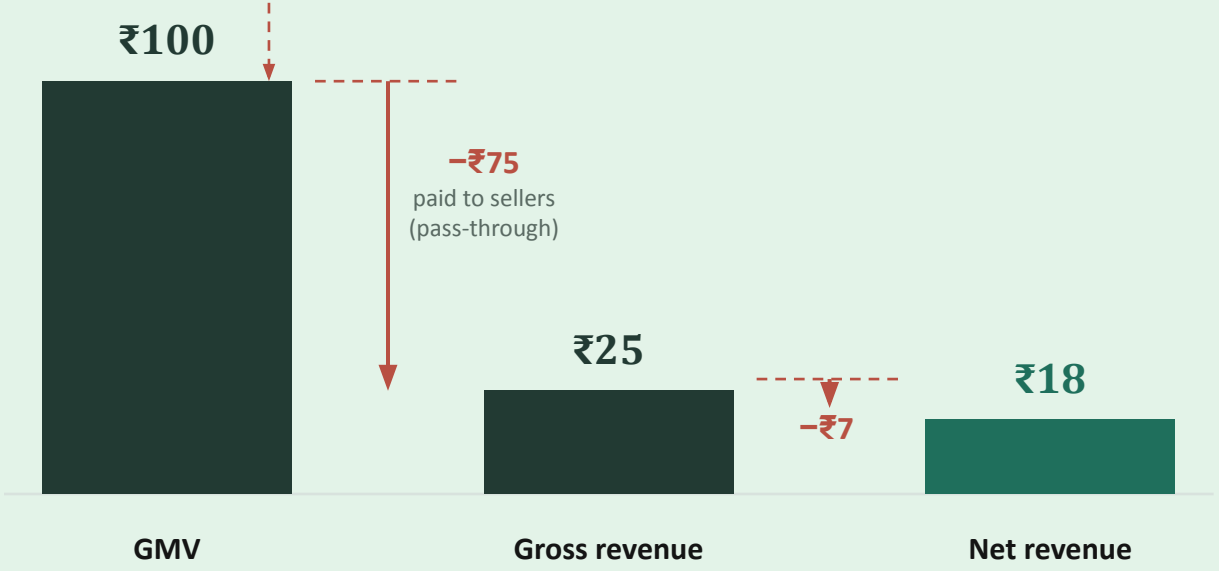
A transactional business dies if people stop coming back often enough. A subscription business dies if they cancel faster than it signs them. You track different numbers because the failure mode is different. Same method, two tracks, all course long.

MIND THE HEADLINE

GMV, gross revenue, net revenue and take rate

A platform quotes the biggest number it can. Strip the tax, then the two deductions that stand between GMV and what it keeps.

+ GST sits on top of what the customer pays — collected for the government, remitted out. **Never revenue.**



18%

take rate

net revenue ÷ GMV

GROSS → NET

What gets deducted

- **Customer discounts** & promotions
- **Cashbacks** & loyalty incentives
- **Returns, refunds** & cancellations

Contra-revenue: netted off, not costs.

Read it right: GST was never yours. Then GMV flatters, gross revenue is booked before incentives, and net revenue is the truth. Always ask which number you are shown.

Two pass-throughs, two recipients: GST goes to the government, the seller payout goes to merchants. Neither is revenue. For a 1P business GMV and gross revenue collapse into one.

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READ THE SHAPE, NOT THE NAME

EXERCISE 3

Three P&Ls. What business is each one?

No names, no sector. Only the cost structure. The shape alone gives it away.

Business 1 ?	
Revenue	**100**
COGS	40
Gross margin	**60**
Employee cost	8
Marketing	22
Other opex	12
EBITDA	**18**

Business 2 ?	
Revenue	**100**
COGS	86
Gross margin	**14**
Employee cost	4
Marketing	1
Other opex	6
EBITDA	**3**

Business 3 ?	
Revenue	**100**
COGS	20
Gross margin	**80**
Employee cost	46
Marketing	26
Other opex	6
EBITDA	**2**

All figures as a percent of revenue, illustrative.

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EX 3 · REVEAL

The shape gave each one away

Business 1

Consumer brand

The tell

High gross margin and heavy marketing. The brand is the asset; it spends to stay top of mind.

FMCG, personal care, packaged foods

Business 2

Grocery / q-commerce

The tell

Razor-thin gross margin, tiny everything else. It makes money on volume and working capital, not markup.

DMart, Blinkit, modern retail

Business 3

Software / SaaS

The tell

80% gross margin but huge people and sales cost. Nearly free to serve, expensive to build and sell.

Zoho, Freshworks, vertical SaaS

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04

NOW YOU HAVE THE VOCABULARY

Put it together

Two payoffs: name the model on sight, then settle the puzzle we left open.

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EXERCISE 4

Name the business model and the revenue model

Brand	Business model	Revenue model

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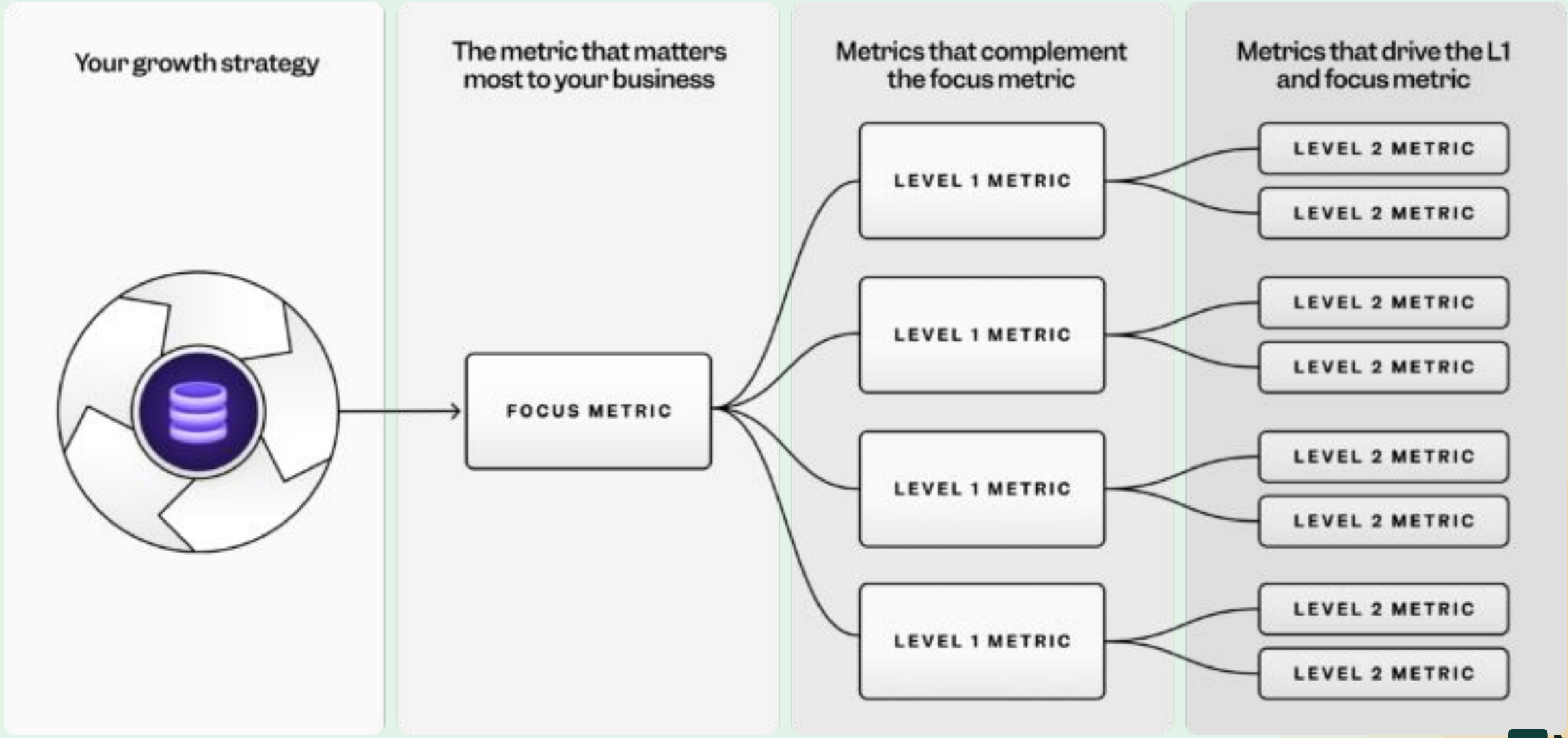
06

GIVE EVERY NUMBER A HOME

The metric tree

One metric, broken into the handful of drivers that actually move it.

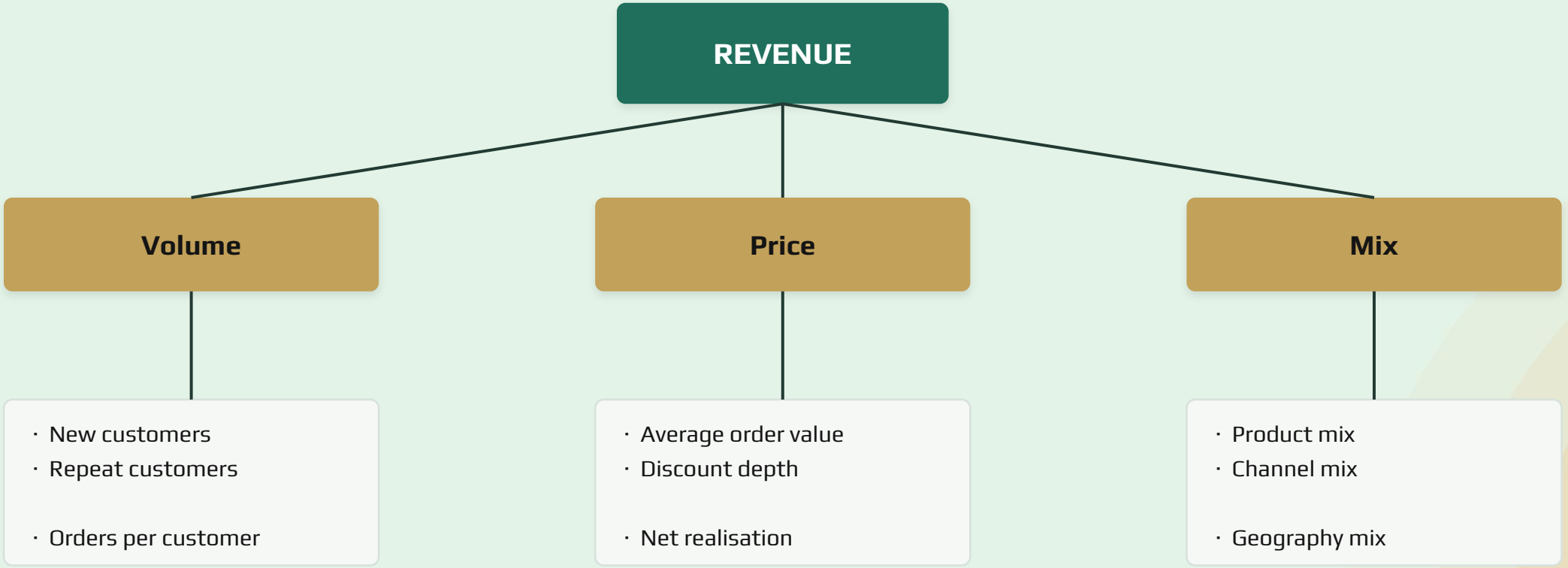
Start with the North Star metric, dig deeper



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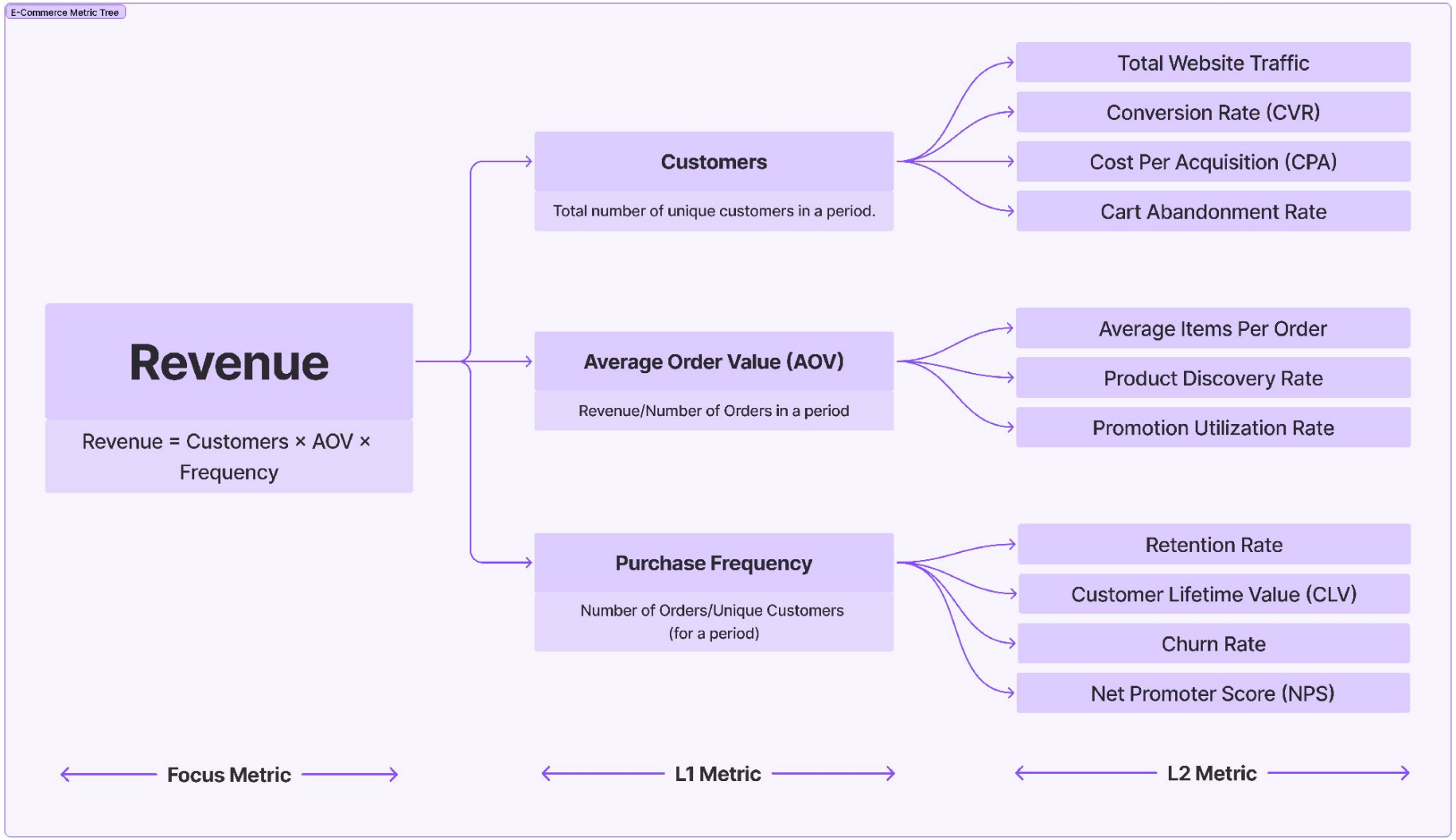
LENS 4 · THE SHAPE

Revenue decomposed into volume, price and mix



Every metric taught this term is a leaf on a tree like this. If you cannot place a metric on the tree, you do not yet know why it matters.

Revenue decomposed into volume, price and mix



CLOSING BIG QUESTION

EXERCISE 5

Read Rivet's numbers

The case: Rivet runs a services platform. ₹1 crore was transacted on it; Rivet invoiced ₹20 lakh and kept ₹15 lakh after discounts.

Q1 · MULTIPLE CHOICE

What is Rivet's business model?

a) Inventory-led retailer b) Managed marketplace c) Lending / balance-sheet d) Franchise

Q2 · TRUE OR FALSE

“Rivet should report ₹1 crore as its revenue, because that is the value transacted on its platform.”

Q3 · WRITTEN

Compute Rivet's take rate, and name the one metric you would put at the top of its weekly review. Justify it in one line.

Think it through before you turn the page.

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SOLUTION

EX 5 . REVEAL

Worked answers

Q1 · MULTIPLE CHOICE

What is Rivet's business model?

b) Managed marketplace

It curates and controls quality but holds no stock — asset-light. Not a 1P retailer, not a lender, not a franchise.

Q2 · TRUE OR FALSE

Report ₹1 crore as revenue?

False

₹1 cr is GMV. As an agent, not a principal, Rivet books only its cut: ₹20 lakh gross, ₹15 lakh net after discounts.

Q3 · WRITTEN

Take rate, and the one metric for the weekly review?

Take rate = net revenue ÷ GMV = ₹15L ÷ ₹100L = 15%

Gross take rate 20% also works if labelled. Metric: any defensible driver with a one-line reason — e.g. repeat booking rate (retention is the whole game for a services marketplace), jobs per active customer, or supply utilisation.

The split: ₹1 cr transacted (GMV) → ₹20 lakh invoiced (gross) → ₹15 lakh kept (net). Revenue is what Rivet keeps.

SESSION 1 · RECAP

Four lenses. One way to read any business.

01	02	03	04
Business model	**Revenue model**	**Stage**	**Metric tree**
what it owns, who carries risk	*how it actually charges*	*growth game, or cash game*	*the few drivers that move it*

- **Book your cut, not the whole sale.** Principal books the full sale; an agent books only its commission.
- **GMV flatters, net revenue is the truth.** Strip GST first, then the two deductions. Ask which number you are shown.
- **Market share is not profit share.** Find the pool. The biggest player is not always where the money sits.
- **Every metric is a leaf on the tree.** If you cannot place it on volume, price or mix, you don't yet know why it matters.

Next session · Universal Metrics: what every function measures, and how to pick the few that matter.

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THE ONE THING TO KEEP

Four lenses.
Every business, read the same way.

Business model · Revenue model · Stage · Metric tree

NEXT SESSION

Universal Metrics: what every function measures, and how to pick the few that matter